

Agilent Technologies

Q4'23 Financial Results Overview



Safe Harbor

These presentations contain forward-looking statements (including, without limitation, information, and future guidance on the company's goals, priorities, revenue, revenue growth, earnings per share, operating margin, operating cash flow, capital expenditures, capital allocation, growth opportunities, new products and solutions, customer service and innovation plans, financial condition and considerations, impact of acquisitions, share repurchases, dividends, the markets the company sells into, operations, manufacturing site plans and tax rates) that involve risks and uncertainties that could cause results of Agilent to differ materially from management's current expectations. The words "anticipate," "plan," "estimate," "expect," "intend," "will," "should," "forecast," "project" and similar expressions, as they relate to the company, are intended to identify forward-looking statements.

In addition, other risks that the company faces in running its operations include the ability to execute successfully through business cycles; the ability to successfully adapt its cost structures to continuing changes in business conditions; ongoing competitive, pricing and gross margin pressures; the risk that our strategic and cost-cutting initiatives will impair our ability to develop products and remain competitive and to operate effectively; the impact of geopolitical uncertainties on our markets and our ability to conduct business; the impact of currency exchange rates on our financial results; the ability to improve asset performance to adapt to changes in demand; the ability to successfully introduce new products at the right time, price and mix, the adverse impacts of and risks posed by the COVID-19 pandemic, and other risks detailed in the company's filings with the Securities and Exchange Commission, including our quarterly report on Form 10-Q for the quarter ended July 31, 2023.

The company assumes no obligation to update the information in these presentations. These presentations and the Q&A that follows include non-GAAP measures. Non-GAAP measures exclude charges related to restructuring and other related costs, asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, net loss on equity securities, pension settlement loss, special compliance costs, change in fair value of contingent consideration and loss on extinguishment of debt. We also exclude any tax benefits that are not directly related to ongoing operations and which are either isolated or are not expected to occur again with any regularity or predictability. With respect to the company's guidance, most of these excluded amounts pertain to events that have not yet occurred and are not currently possible to estimate with a reasonable degree of accuracy. Accordingly, no reconciliation to GAAP amounts has been provided.

Agilent Results FY'23

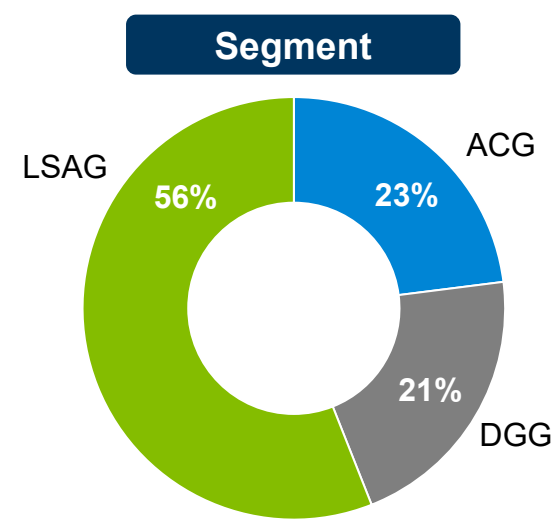
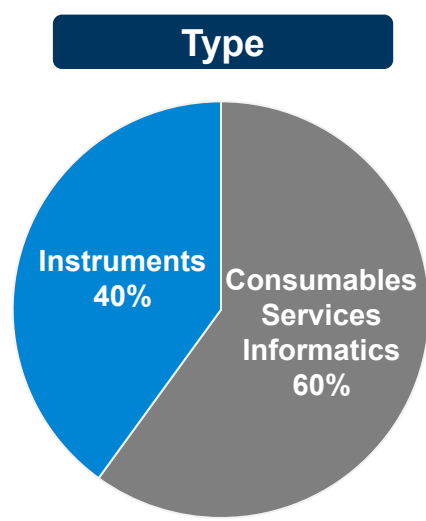
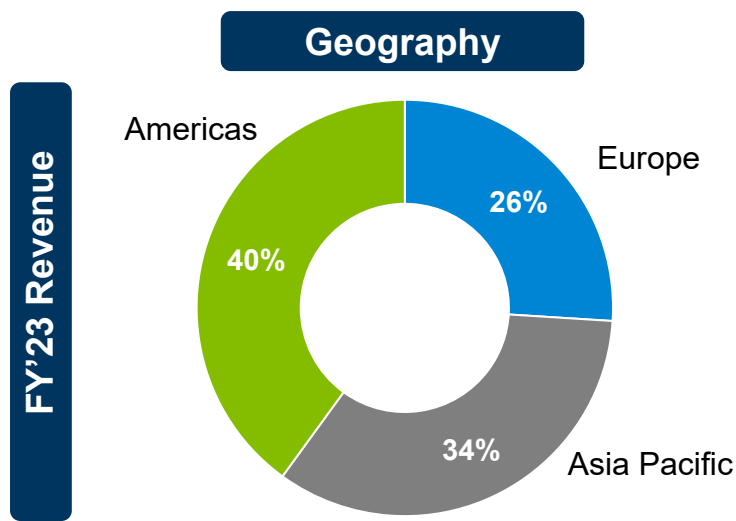
A leading lab partner with unsurpassed capabilities and scale

FY'23 Financial Metrics

- **Revenues:** \$6.83B, -0.2% reported, +1.5% y/y core⁽¹⁾⁽²⁾ (-1.8% FX, +0.1% M&A).
- **Operating Margin:** 27.4%⁽²⁾ of revenue, up 30 basis points y/y.
- **EPS:** \$5.44⁽²⁾, up 4% y/y.

FY'23 Highlights

- **Growth:** Delivered core growth in a challenging market environment, completing a 4-year period with a 7% compound annual core growth rate.
- **Margins:** 30 bps⁽²⁾ increase in operating margins as the business adapted to the difficult market conditions and delivered meaningful cost savings.
- **Capital Allocation:** Generated strong cash flow of \$1.8B, invested \$0.3B in capex, paid \$0.3B in dividends, and repurchased 4.6M shares for \$0.6B.



(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided on Agilent's Investor Relations website.

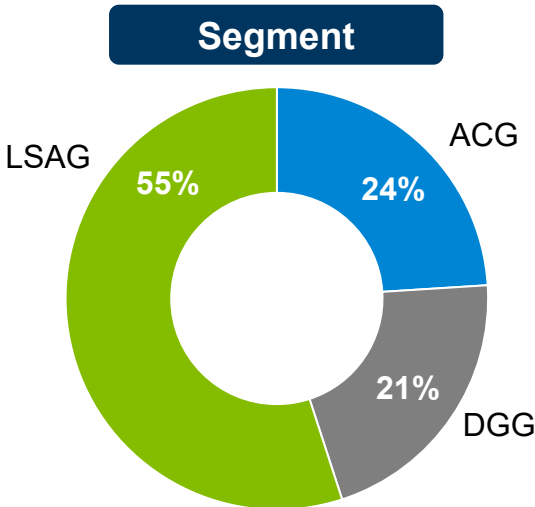
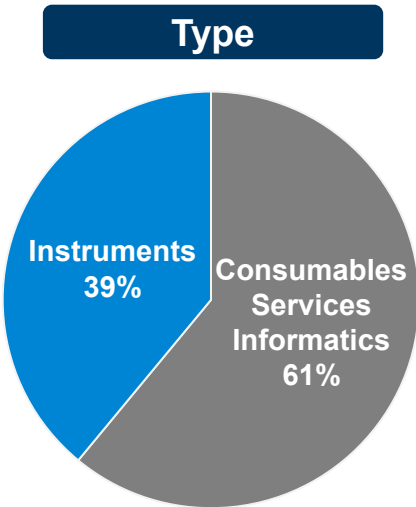
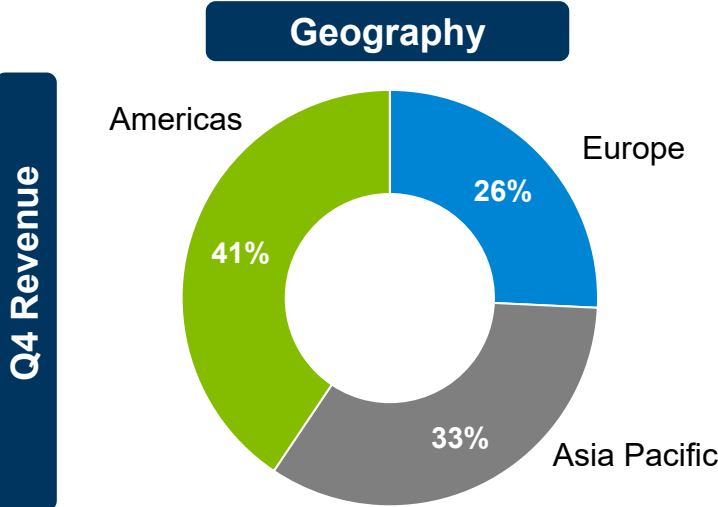
Agilent Results Q4'23

Q4'23 Financial Metrics

- **Revenues:** \$1.69B, -8.7% reported, -9.7% y/y core⁽¹⁾⁽²⁾ (+1.1% FX, -0.1% M&A).
- **Operating Margin:** 27.8%⁽²⁾ of revenue, down 130 basis points y/y.
- **EPS:** \$1.38⁽²⁾, down 10% y/y.

Q4'23 Highlights

- **Growth:** Revenue declined driven by lower demand for instrumentation, particularly in China and the Pharma end market, partially offset by Services and key growth drivers such as PFAS, BioPharma, and Advanced Materials continuing to outperform.
- **Margins:** Operating margin declined 130 bps⁽²⁾ against an extraordinary Q4'22 comparison, as good pricing and cost actions partially offset the top line driven decrements.
- **Capital Allocation:** Generated operating cash of \$516M, invested \$84M in capex, paid \$66M in dividends, and repurchased 0.7M shares for \$80M.

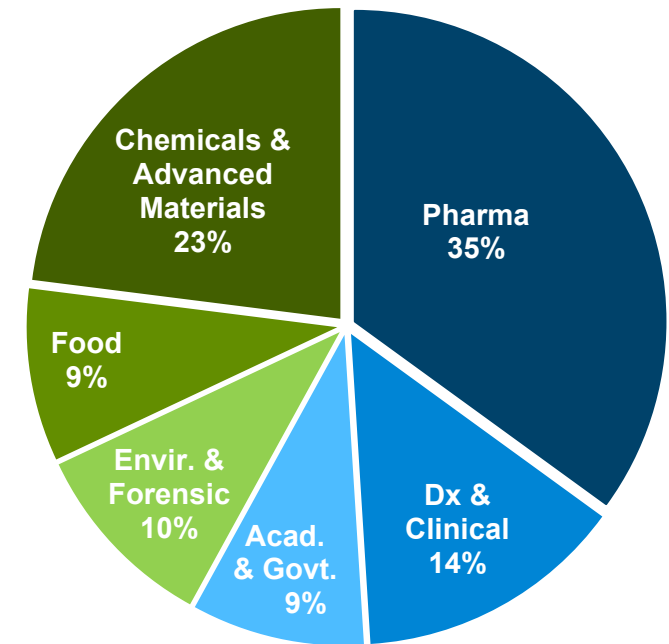


(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.
(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided on Agilent's Investor Relations website.

Q4 FY'23 Core Growth⁽²⁾ Results by End Market

Delivering on areas of opportunity across our end markets despite challenging macro conditions

- **Pharma:** Down -14% with +7% BioPharma growth ex-China led by service and consumables, offset by weakness in China and dampened instrument spending.
- **Chemicals & Advanced Materials:** Down -11% against a +27% comp last year. Chemicals demand is challenged, but Advanced Materials space is resilient with mid-single digit growth ex-China.
- **Academia & Govt:** Down -1% as stable to growing public funding ex-China drives +3% growth
- **Environmental & Forensics:** Down -3% globally as solid PFAS-driven mid-single digit growth in the US and Europe was offset by softness in China.
- **Food:** Down -10% with CapEx investment pressured by high interest rates in the commercial lab space.
- **Diagnostics and Clinical:** Down -4%, with double-digit IHC Cancer Dx growth offset by ongoing market softness in Genomics.



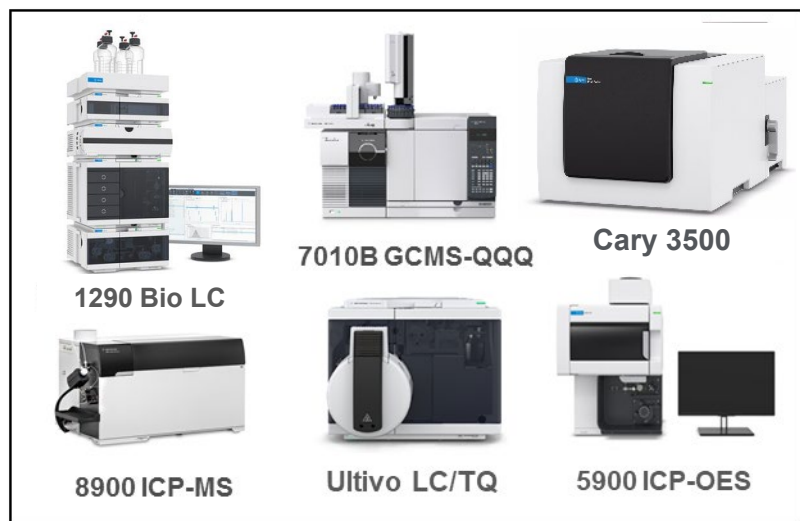
Agilent Revenue by End Market ⁽¹⁾

(1) % of Q4'23 Agilent revenue.

(2) Core growth is reported growth adjusted for the effects of acquisitions and divestitures and FX; reconciliations to closest GAAP equivalent provided on Agilent's Investor Relations website.

Life Sciences & Applied Markets Group (LSAG)

Instrumentation, Informatics, and
Consumables
for Analytical Laboratories



- **FY'23 Revenue of \$3,856M**
- **Y/Y Growth: -4% (-2% core⁽¹⁾⁽²⁾)**
- **Q4'23 Revenue of \$928M**
- **Y/Y Growth: -17% (-18% core⁽¹⁾⁽²⁾)**

(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.

(3) Presented on a non-GAAP basis.

- LSAG closes FY23 with a **4-year CAGR of 7%**, as our instrument platforms continue to deliver the innovation, quality and ease-of-use that make a difference for customers.
- Increasing conservatism on capital equipment purchases across Pharma and pronounced macroeconomic challenges in China impact the instrument market in FY23.
- **Emerging demand for PFAS testing, reshoring of semi supply chains, and expansion of lithium-ion battery production capacity** is driving nice pockets of secular growth within our end markets.
- **FY'23 Operating Margin** was 28.9%⁽³⁾, down -70 bps versus last year.
- **Q4 Operating Margin** was 28.1%⁽³⁾, down -460 bps versus last year.

Agilent CrossLab Group (ACG)



- **FY'23 Revenue of \$1,568M**
- **Y/Y Growth: +8% (+10% core⁽¹⁾⁽²⁾)**
- **Q4'23 Revenue of \$404M**
- **Y/Y Growth: +6% (+4% core⁽¹⁾⁽²⁾)**

(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.

(3) Presented on a non-GAAP basis.

- CrossLab delivered another solid quarter in Q4, growing +4% with **continued double-digit growth in service contracts**.
- Delivered growth in every end market and all regions except China during the quarter.
- Customer satisfaction scores remain at record-high levels as attachment to our global installed base is growing at high-single digits.
- **FY'23 Operating Margin** was 29.5%⁽³⁾, up +400 bps versus last year.
- **Q4'23 Operating Margin** was 31.7%⁽³⁾, up +430 bps versus last year.

Diagnostics and Genomics Group (DGG)

Pathology, Genomics, and Nucleic Acid Manufacturing



- **FY'23 Revenue of \$1,409M**
- **Y/Y Growth: +1% (+3% core⁽¹⁾⁽²⁾)**
- **Q4'23 Revenue of \$356M**
- **Y/Y Growth: +1% (0% core⁽¹⁾⁽²⁾)**

(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.

(3) Presented on a non-GAAP basis.

- FY23 growth of 3% was led by another strong **double-digit growth performance from our GMP-grade oligonucleotide manufacturing business**, as well as **high-single digit growth in our Clinical Pathology franchise**.
- **Launched two more PD-L1 IHC 22C3 pharmDx kits**, one in China and one in Japan, continuing to build our global portfolio of PD-L1 tests across a range of cancer indications.
- **FY'23 Operating Margin** was 21.0%⁽³⁾, down -70 bps versus last year.
- **Q4'23 Operating Margin** was 22.5%⁽³⁾, up +300 bps versus last year.

Q1'24 and FY'24 Guidance and Forward-looking Considerations

Based on Forecasted Currency Exchange Rates

Q1'24 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$1,555	\$1,605
<i>Y/Y Core Revenue Growth ⁽²⁾</i>	<i>-11.3%</i>	<i>-8.5%</i>
<i>Assumes -0.1% M&A</i>		
EPS	\$1.20	\$1.23

FY'24 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$6,710	\$6,810
<i>Y/Y Core Revenue Growth ⁽²⁾</i>	<i>-0.5%</i>	<i>1.0%</i>
<i>Assumes -1.2% FX, -0.1% M&A</i>		
EPS	\$5.44	\$5.55

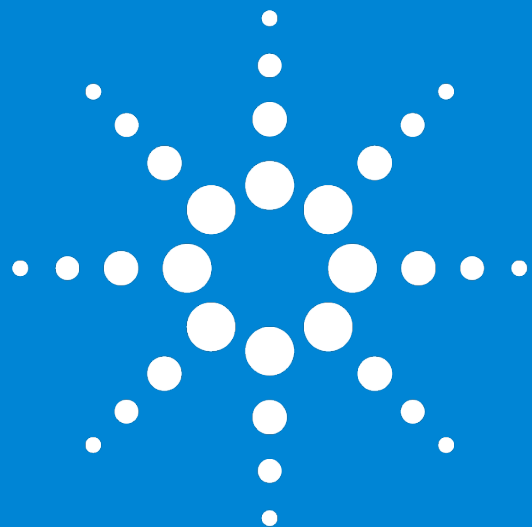
FY24 Financial Considerations

- Net Interest + Other Income/Expense: ~\$0M (\$0M for Q1)
- Non-GAAP Tax Rate at 13.5%
- Guidance assumes diluted share counts of 293M for the full year and 293M for Q1
- Operating Cash Flow of \$1.6B and CapEx of \$400M
- Shareholder Returns: \$279M in dividends. Anti-dilutive share repurchases at a minimum
- The 2023 Stock Repurchase Program ⁽³⁾ with authorization up to \$2 billion began on March 1, 2023, and has \$1.5B capacity remaining.

(1) As of November 20, 2023, based on forecasted currency exchange rates. Presented on a non-GAAP basis.

(2) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(3) Per 10b5-1 plan, maximum of 2.6M shares to be purchased on daily systematic basis.



Agilent

Trusted Answers